

UNIT 1 · TOPIC 1.4

Booking Classes and Fare Types

Same seat, different price — decoding the alphabet behind airfares.

B.B.A. Aviation Management · Semester III · Unit 1: Overview of the Airline Industry
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

**BOARDING PASS**

LEARNER

STU

PROFESSIONAL

**PRO**

FLIGHT

ATF 1.4

GATE

PERIOD 4

DURATION

00:40

SEAT

SEM III

CLASS

**PROBLEM-
SOLVING**

BOARDING

NOW

TOPIC 1.4

In-Flight Movie: Topic Intro



UNIT 1 · TOPIC 1.4

OVERVIEW OF THE AIRLINE INDUSTRY

Booking Classes and Fare Types

Same seat, different price — decoding the alphabet behind airfares.

BOARDING PASS

STU  **PRO**

FLIGHT **ATF 1.4** GATE **P4**

DURATION **00:40** BOARDING **NOW**

AIR TICKETING & FARE CONSTRUCTION · UNIT 1 · TOPIC 1.4

Air Ticketing & Fare Construction · Unit 1: Overview of the Airline Industry · Topic 1.4

02

TOPIC 1.4

Pre-Flight Question



THINK ABOUT IT

Two passengers sit side by side on the same flight. One paid ₹4,500, the other ₹12,000. Why?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



TOPIC 1.4

Today's Flight Plan

1

1.4.1

Fare class structure: how airlines use booking classes for seat availability and fare determination

2

1.4.2

Types of fare: published, negotiated, corporate, group and charter fares

3

1.4.3

Understanding booking classes: how booking codes link to seat availability and fare types

4

1.4.4

Dynamic pricing: how booking class and demand impact pricing

**BY LANDING, YOU WILL**

- Explain cabin vs booking class (RBD)
- Differentiate published, negotiated, corporate, group and charter fares
- Read a seat availability display
- Explain how demand changes fares over time

Pedagogy: Learning Through Problem-Solving



TOPIC 1.4.1

Cabin Class vs Booking Class (RBD)

One cabin can be split into many “buckets”, each with its own price.

**Cabin class**

The physical product: First, Business, Premium Economy, Economy.

**Booking class (RBD)**

A one-letter Reservation Booking Designator that controls inventory and links to a fare.

**Fare ladder**

Airlines open cheap buckets first and close them as seats sell.

**THINK OF IT LIKE...**

A cinema with one hall but ticket prices that rise as the show fills up. Every Economy seat is the same seat — the booking class decides what you pay and which rules apply.



TOPIC 1.4.1

Common Booking Class Codes

Codes vary by airline, but these patterns are widely used.

Cabin	Typical RBD codes	Notes
First	F, A, P	F is usually full-fare First
Business	J, C, D, I, Z	J / C often full-fare Business; others discounted
Premium Economy	W, E, T (varies)	Newer cabin; codes differ most between airlines
Economy	Y, B, M, H, K, L, Q, V, N, S...	Y = full fare; later letters usually cheaper, more restricted

Note: Always check the airline's own RBD chart — the same letter can mean different things at different carriers.

Air Ticketing & Fare Construction · Unit 1: Overview of the Airline Industry · Topic 1.4

06

TOPIC 1.4.2

Fare Types: Who Is the Fare For?

Who the fare is for and how it is distributed defines its type (charter fares on the next slide).

**Published**

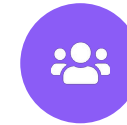
Public fares filed by airlines (via ATPCO) and visible to all agents in the GDS.

**Negotiated**

Private or net fares agreed with consolidators or agencies; not publicly shown.

**Corporate**

Discounted, flexible fares contracted with companies for their employees.

**Group**

Special pricing for groups (commonly 10+ passengers) with deposit and name-list deadlines.



TOPIC 1.4.2

Scheduled Fares vs Charter Fares



Scheduled Fares

- Sold seat-by-seat on regular timetable flights
- Filed with fare rules and booking classes
- Published, negotiated, corporate or group
- Ticketed via GDS, airline site or OTA

VS



Charter Fares

- Whole aircraft hired by tour operator or group
- Price per flight, resold as packages
- Flexible timing, e.g., Hajj, pilgrim or sports charters
- Different consumer protection rules



TOPIC 1.4.3

Reading a Seat Availability Display

Each letter shows a booking class and the seats left in it.

- Each letter = a booking class (RBD).
- The number = seats available to sell (often capped at 9).
- 0 or a closed status means that bucket is sold out.
- Agents book the cheapest open class that meets the passenger's needs.

```
AVAILABILITY (illustrative)

> AN15NOVDELBOM

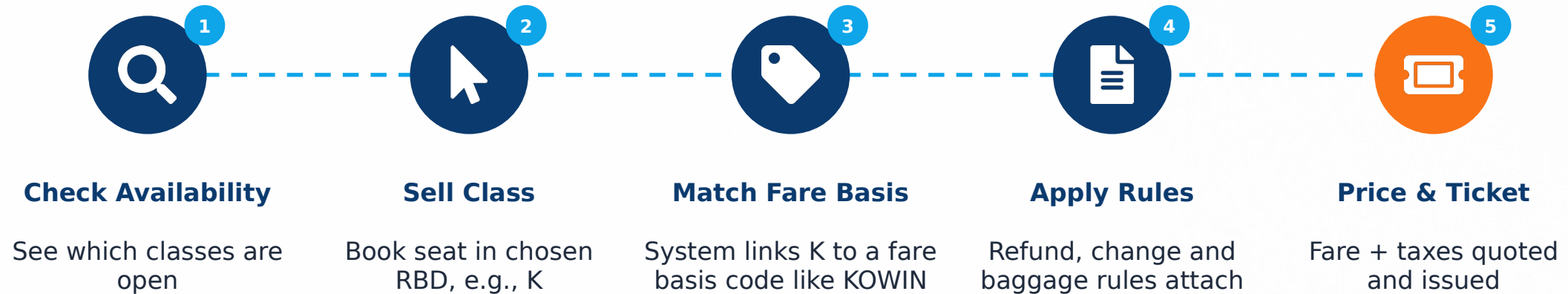
1 AI 887 DEL BOM 0700 0910
  J4 C4 D2 Z0 Y9 B9 M9
  H9 K5 Q2 V0 L0 S0

// V, L, S closed -> cheapest
// open economy class is Q
```

TOPIC 1.4.3

From Booking Code to Fare

How a booking class becomes the price printed on the ticket.



TOPIC 1.4.4

Dynamic Pricing & Revenue Management

Airlines use data science to sell the right seat to the right customer at the right price.



Demand Forecasting

Historical data predicts how many will book at each price.



Nesting

Higher classes can always use seats from cheaper buckets.



Overbooking

Sell slightly above capacity to offset no-shows.



Continuous Pricing

Newer systems adjust price points in real time, not just open/close buckets.



TOPIC 1.4.4

Demand in Action: One Route, Many Prices

Illustrative economy fares for the same DEL-BOM flight booked at different times.

₹4,500

30 days before — cheapest
bucket open

₹6,800

7 days before — lower
classes closing

₹11,500

1 day before — only high
classes left

₹15k+

festival or holiday peak —
demand surge



Problem-solving tip: for price-sensitive travellers, book early, travel off-peak and compare nearby airports or times.



TOPIC 1.4

Cabin Crew Activity: Price the Passenger

**PEDAGOGY****Learning Through Problem-Solving****TIME · 10 min****FORMAT · Groups of 4****1**

Each group receives an availability display and three passenger profiles.

2

Profiles: budget student, corporate traveller needing flexibility, group of 12.

3

Choose the best booking class / fare type for each and justify it.

4

Present one solution; class votes on the smartest choice.



TOPIC 1.4*Click to reveal each answer*

Pre-Landing Check

Q1**RBD stands for...**

- A) Reservation Booking Designator
- B) Route Booking Data
- C) Refund Booking Date
- D) Reserved Business Deck

ANSWER**A****Q2****A fare privately agreed with a consolidator is a...**

- A) Published fare
- B) Negotiated fare
- C) Charter fare
- D) Group fare

ANSWER**B****Q3****Selling more seats than capacity to cover no-shows is...**

- A) Nesting
- B) Codesharing
- C) Overbooking
- D) Interlining

ANSWER**C****Q4****In most economy RBD charts, which code is the full fare?**

- A) Q
- B) V
- C) Y
- D) S

ANSWER**C**

SAFE LANDING

Key Takeaways

- ✓ Cabin = product; booking class (RBD) = price bucket and rules
- ✓ Fare types: published, negotiated, corporate, group and charter
- ✓ Availability displays show open classes and seats left
- ✓ Revenue management and demand make fares change constantly

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT DEPARTURE

Topic 1.5 — Reservation Systems

Thank you · Questions?